

Farmers operate on thin margins, which limits their willingness and ability to pay for new solutions. In contrast, the consumer side presents a diverse market with multiple segments and a greater capacity for expenditure. This disparity became evident as the sector evolved, particularly 2011-12 onwards.

The wave of agritech ventures like BharatAgri and Greenikk focused on the farmer. They promised to improve yields and economic value through better inputs, equipment, and advisory services.

The core problem, however, was not just a lack of awareness or resistance to change; it was adoption. “Everyone was in this race trying to sell something to the farmer... but all the interventions increased the cost of production,” says Vipul Patel, Partner, Seed Funding at IIMA Ventures, which has agritech start-ups like Ecozen, Stellapps, and Bijak in its portfolio.

The economics, however, didn’t add up for many farmers because the evidence was often lacking.

“The farmer wants to see results in that particular farming cycle,” explains Patel, adding that if a product fails to deliver a clear, short-term benefit, adoption remains dismally low. This, combined with the inherent complexity of Indian farming and the friction created by small landholdings, led to widespread struggle.

The experience forced both founders and investors to rethink what could work. Kahn says the issue was not that agriculture lacked opportunity but that many early ventures were built on flawed assumptions.

As ecosystem experts point out, the outcome of this struggle was a natural selection of business models. Many start-ups failed. Some managed to survive but only by becoming traditional, niche companies selling specific tools. However, the more re-



HIGH HOPES After a brutal funding winter that saw venture capital dry up across sectors, India’s agritech sector is finding its way back

FUNDING

TRACTOR JUNCTION	AGROSTAR	ARYA.AG
\$22.5 MILLION (2025)	\$30 MILLION (2025)	\$80.5 MILLION (2026)
A rural mobility and farm-equipment marketplace that enables farmers to buy, sell, finance, insure and service new and used tractors, farm machinery and commercial vehicles	An omnichannel agri-solutions platform that provides farm advisory, agricultural inputs and market linkages, helping farmers improve productivity and access markets	A grain commerce and agri-fintech platform that provides storage, financing and market access to farmers, helping them sell produce on their own terms after harvest

SOURCE COMPANIES